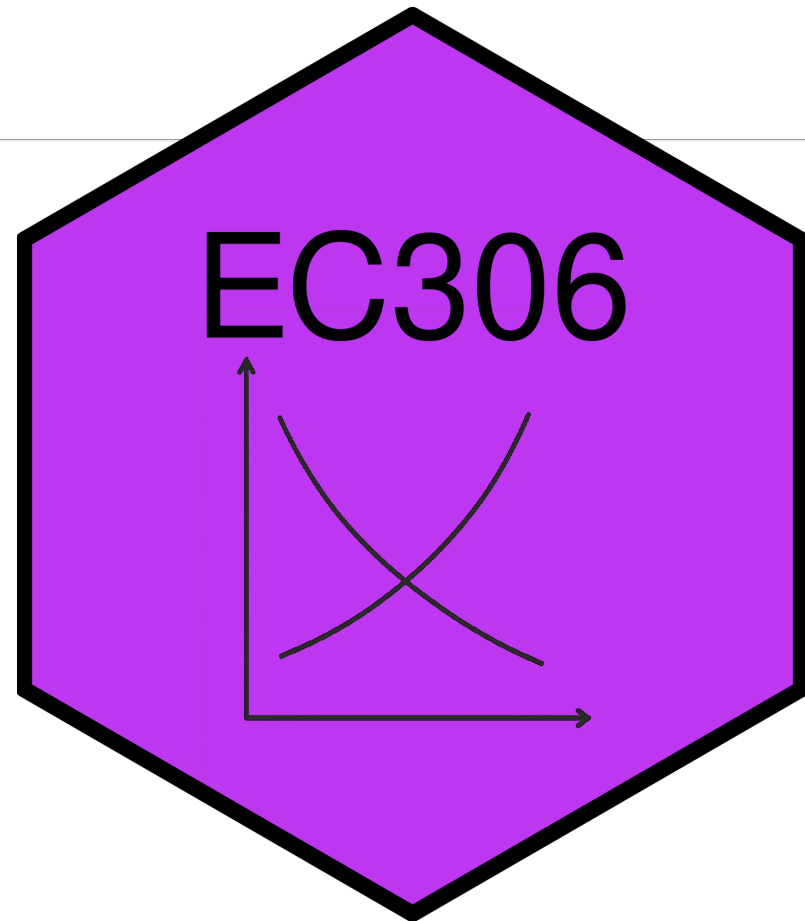


Chapter 6: Labour Supply and Early Career Decisions — In-Class Questions

EC306- Wages and Employment
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BFGLSS Chapter 6 Problem 1

The evaluation of the labour supply response to a tax cut can be quite different in a dynamic setting from what it is in a static setting. Discuss the relative impact of a permanent versus transitory tax cut on labour supply, and compare the analysis to the static model.

BFGLSS Chapter 6 Problem 2

Consider the two-period dynamic labour supply model discussed in this chapter. What, if anything, happens to current labour supply if the interest rate rises from 2 percent to 10 percent?

BFGLSS Chapter 6 Problem 4

Use your knowledge of household production theory to indicate the following

a) The expected effect of a wage increase on the wife's labour supply

BFGLSS Chapter 6 Problem 4

b) The expected effect on the demand for children of an increase in the wage of a wife

BFGLSS Chapter 6 Problem 4

c) Why the substitution effect for labour supply may be larger for women than men

BFGLSS Chapter 6 Problem 4

d) The effect on one spouse's labour supply of his or her spouse's disability where the spouse requires home care

BFGLSS Chapter 6 Problem 4

e) The effect on this same spouse's labour supply if the government provided financial compensation to the family

MC1

Which of the following statements concerning subsidies for child care expenses is true?

- a) They change the slope of the budget line.
- b) They reduce the fixed costs of working.
- c) They discourage labour force participation.
- d) They tend to increase the reservation wage of working.
- e) They cause a strong substitution effect toward more working activity.